

Brooks Automation

In the second case, Brooks Automation (BRKS) in 2005, the head-and-shoulders never confirmed as a valid pattern, so there was no downward breakout to bust. Even so, the stock closed above the top of the pattern and climbed 18%. I was stopped out along the way for a small gain but hoped the stock would deliver more.

Wex Inc.

In one trade, Wex Inc. (WEX) in 2019, I sold 4 months before the stock cratered by 70% during the Covid-19 pandemic. Thank goodness I sidestepped that drop.

- Lesson: Don't try to guess that a head-and-shoulders top will appear. Either it confirms or it doesn't, so don't exit prematurely.
- Lesson: If you do see a head-and-shoulders confirm, then assess how bad the drop will be. In my case, I sold quickly and avoided big losses, multiple times.
- Lesson: With busted head-and-shoulders tops, wait for a valid pattern to appear and then make a realistic assessment of how far price might rise. Then give it a try if it's worth the risk.

Sample Trade

Kelly is not just a housewife; she is much more than that. When her husband brings home the bacon, she not only fries it but cleans up the mess afterward. She balances the books and keeps tabs on their newborn.

She started investing years ago for fun. Now, it has become part of her daily life. In the spare moments between chores, she is often staring at the computer screen, reviewing the statistics of a prospective acquisition and letting her daughter bang on the keyboard.

Over the years she has been able to parlay their meager savings into a six-figure retirement portfolio. It was not always easy, and the mistakes were painful, but she viewed each failure as a learning experience.